UNDERTAKINGS IN LIEU OF REFERENCE

given to the Competition and Markets Authority under section 73 of the Enterprise Act 2002

by Pennington Industries Limited

Recitals

(A) On 30 September 2025 Pennington Industries Limited (the "Undertaking Party") acquired the entire issued share capital of Halworth Pump Systems Limited ("Halworth") (the "Merger").

(B) On 16 December 2025 the Competition and Markets Authority (the "CMA") commenced an investigation into the Merger under section 22 of the Enterprise Act 2002 (the "Act").

(C) On 9 February 2026 the CMA found that the Merger has resulted in a realistic prospect of a substantial lessening of competition (an "SLC") in the supply of centrifugal and submersible pumps to the municipal water and wastewater sector in the United Kingdom.

(D) In order to remedy, mitigate or prevent the SLC and the adverse effects resulting from it, the Undertaking Party offers, and the CMA is minded to accept, the undertakings set out below in lieu of a reference under section 22, pursuant to section 73 of the Act.

Operative provisions

1. Definitions and interpretation

1.1 In these undertakings, unless the context otherwise requires, the following definitions apply: "Aqualis Business" means the business of the design, manufacture, marketing, sale and servicing of the Halworth Aqualis range of centrifugal and submersible pumps for the municipal water and wastewater sector, together with the Divestment Assets; "Divestment Assets" means the assets, contracts, intellectual property, goodwill and personnel listed in Schedule 1; "Purchaser" means a person approved by the CMA in accordance with paragraph 4; and "Effective Date" means the date on which these undertakings are accepted by the CMA.

1.2 Headings are for convenience only and do not affect interpretation. References to a statutory provision include any subordinate legislation made under it and any modification or re-enactment of it. Words importing the singular include the plural and vice versa.

2. Commitment to divest

2.1 The Undertaking Party shall procure the divestment of the Aqualis Business and the Divestment Assets as a going concern to a Purchaser approved by the CMA, on terms approved by the CMA, within the Initial Divestiture Period of four (4) months from the Effective Date. The Initial Divestiture Period may be extended by the CMA in exceptional circumstances on the written request of the Undertaking Party, but shall not in any event exceed an aggregate of six (6) months.

2.2 If the Undertaking Party has not entered into a legally binding agreement for the divestment of the Aqualis Business within the Initial Divestiture Period, the obligation to divest shall pass to a Divestiture Trustee appointed under paragraph 6, who shall be entitled to sell the Aqualis Business with no minimum price during the Trustee Divestiture Period.

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2.3 The divestment must be to a single Purchaser and must include all of the Divestment Assets, so as to create or maintain a viable and effective competitor in the supply of pumps to the UK municipal water sector.

3. Preservation of the Aqualis Business pending divestiture

3.1 From the Effective Date until completion of the divestment, the Undertaking Party shall hold the Aqualis Business separate from its retained business, shall preserve its economic viability, marketability and competitiveness, and shall not do anything that may adversely affect the Aqualis Business or its prospects of sale.

3.2 The Undertaking Party shall keep the Aqualis Business separately managed under a Hold Separate Manager and shall ring-fence its commercially sensitive information from the retained business, save as permitted by a derogation granted by the CMA.

3.3 The Undertaking Party shall maintain the Aqualis Business as a going concern, retain key personnel, honour existing customer framework contracts and continue capital expenditure and product development in the ordinary course.

4. Approval of the Purchaser

4.1 The Undertaking Party shall not complete any divestment unless the CMA has first approved (a) the identity of the Purchaser and (b) the terms of the sale and purchase agreement.

4.2 The CMA will approve a Purchaser only if it is satisfied that the Purchaser is independent of and unconnected to the Undertaking Party; has the financial resources, expertise and incentive to maintain and develop the Aqualis Business as a viable competitor; and that the divestment to the Purchaser will not create further competition concerns (the “Purchaser Criteria”). The CMA may require the divestment to be made to an up-front buyer, such that the Undertaking Party shall not be entitled to complete the divestment until a Purchaser meeting the Purchaser Criteria has been identified and approved by the CMA.

5. Monitoring Trustee

5.1 The Undertaking Party shall, within ten (10) working days of the Effective Date, propose for the CMA’s approval the appointment of an independent Monitoring Trustee to monitor compliance with these undertakings.

5.2 The Monitoring Trustee shall report to the CMA on the Undertaking Party’s compliance, the preservation of the Aqualis Business and the conduct of the divestiture, at such intervals as the CMA may require.

6. Divestiture Trustee

6.1 If the Undertaking Party fails to divest the Aqualis Business within the Initial Divestiture Period, the CMA may require the appointment of a Divestiture Trustee with an irrevocable mandate to complete the divestment within the Trustee Divestiture Period at no minimum price.

6.2 The Undertaking Party shall give the Divestiture Trustee all assistance, information and authority reasonably necessary to carry out the mandate.

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7. Compliance, reporting and information

7.1 The Undertaking Party shall provide the CMA and any Trustee with all information reasonably required to monitor compliance with these undertakings, and shall submit a written compliance statement signed by a director at intervals required by the CMA.

7.2 The Undertaking Party shall appoint a compliance officer responsible for the implementation of and compliance with these undertakings.

8. Duration, variation and release

8.1 These undertakings take effect on the Effective Date and remain in force until released by the CMA. The CMA may release the undertakings, in whole or in part, where it is satisfied that they are no longer appropriate, having regard to any change of circumstances.

8.2 Any variation, substitution or release of these undertakings shall be in accordance with section 73 and section 92 of, and Schedule 10 to, the Act.

9. Governing law and jurisdiction

9.1 These undertakings and any dispute or claim arising out of or in connection with them are governed by and construed in accordance with the law of England and Wales, and the parties submit to the exclusive jurisdiction of the courts of England and Wales.

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Schedule 1 — Divestment Assets

Category	Description
Brand & IP	“Aqualis” trade marks, registered designs, product drawings, applications software and know-how for the municipal-water pump range
Product lines	Aqualis AX end-suction centrifugal range; Aqualis SD submersible drainage range; associated spares and ancillaries
Manufacturing assets	Dedicated assembly and test cells at the Stoke-on-Trent site (or, at the Purchaser’s election, equivalent transferred tooling and a transitional supply arrangement)
Contracts	AMP7/AMP8 framework agreements and call-off contracts with regional water companies and Tier 1 contractors listed in Part 2
Personnel	Designated engineering, applications, sales and service staff (c. 48 employees) listed in Part 3
Customer records	Customer lists, bid history, installed-base records and service contracts for the Aqualis Business

Signature

Given for and on behalf of Pennington Industries Limited:

Signed: G. Underwood

Name: Grace Underwood

Title: Group Finance Director and duly authorised signatory

Date: 11 March 2026

Accepted by the Competition and Markets Authority under section 73 of the Enterprise Act 2002:

Signed: A. Renton, Director, Mergers (for and on behalf of the CMA)

Date: 11 March 2026

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